

M/S Kanhaiya Beverages Pvt. Ltd. & Another v. State of U.P. & 5 Others

High Court of Judicature at Allahabad · Division Bench · 13 July 2026 (order-sheet 12.12.2022 to 13.7.2026; dismissed for want of prosecution) · WRIT - C No. - 33073 of 2022 · **Writ petition dismissed for want of prosecution. On 13 July 2026, no one appearing for the petitioners to press the petition, the Division Bench dismissed it for want of prosecution and vacated any interim order. The substantive question the petition had raised — whether, under para 4.3(f)(vii) of the U.P. Electricity Supply Code, 2005 read with the Insolvency and Bankruptcy Code, 2016, the licensee could refuse the building owner a fresh electricity connection, or recover from the owner, on account of the unpaid electricity dues of an erstwhile tenant whose company had undergone insolvency resolution — was argued at length in December 2023 but never decided.**

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HEADNOTE

Order-sheet record of a writ petition by a building owner that was ultimately dismissed for want of prosecution without a decision on the merits. The owner had let the premises to a tenant company (M/s Dishnet Wireless Private Limited, part of the Aircel group) which took an electricity connection in its own name and then underwent insolvency resolution under the Insolvency and Bankruptcy Code, 2016; the NCLT, Mumbai, by order dated 16 October 2018, directed that the premises be vacated, that the outstanding electricity bill be paid by the debtor through the Resolution Professional up to the date of vacating, and that the payments to the Electricity Department and of rent be treated as Insolvency Resolution Process Cost. The licensee (respondent no. 4), not having received the tenant's electricity dues of Rs.21,20,124 from the Resolution Professional, declined to grant a fresh connection to the owner, who filed this writ contending that under para 4.3(f)(vii) of the U.P. Electricity Supply Code, 2005 (with the IBC and Ghanshyam Mishra) the licensee could neither recover the erstwhile tenant's dues from the owner nor refuse the owner a connection. Although substantial arguments were heard in December 2023 and notice was issued to the insolvency professional, the matter was repeatedly adjourned; on 13 July 2026, no one appearing to press the petition, the Division Bench (Saral Srivastava and Sudhanshu Chauhan, JJ.) dismissed it for want of prosecution and vacated any interim order. The para 4.3(f)(vii) / IBC question was thus left undecided.

FACTUAL SUMMARY

The petitioners, M/S Kanhaiya Beverages Pvt. Ltd. and another, are the owners of House No. D 59/71-A, Mohalla Mahmoorganj, Varanasi. They had let the property to M/s Dishnet Wireless Private Limited, which took an electricity connection in its own name and subsequently went into insolvency resolution under the Insolvency and Bankruptcy Code, 2016. The petitioners applied to the NCLT, Mumbai (CP (IB)-298/(MB)/2018), for their arrears of rent and electricity dues; by order dated 16 October 2018 the NCLT directed that the premises be vacated by 15 December 2018, that the outstanding electricity bill be paid by the debtor company/Aircel through the Resolution Professional up to the date of vacating, that the outstanding rent be paid to the owners (in phases if funds were short), and that the payments to the Electricity Department and of rent be treated as Insolvency Resolution Process Cost. The premises were vacated and the rent arrears released, but the licensee (respondent no. 4), which had by letters dated 18 February 2019 and 6 August 2019 sought the electricity dues of Rs.21,20,124 from the Resolution Professional and not received them, declined to grant a fresh connection to the owners. The owners filed the present writ petition, contending that under para 4.3(f)(vii) of the U.P. Electricity Supply Code, 2005, and relying on the IBC and Supreme Court authority including Ghanshyam Mishra, the licensee could neither recover the erstwhile tenant's dues from them nor refuse them a connection. Substantial arguments were heard on 2 and 5 December 2023, when the Court issued notice to the insolvency professional (respondent no. 6) and listed the matter for final disposal; but it was thereafter adjourned repeatedly through 2024 and 2025, and on 13 July 2026, no one appearing for the petitioners to press it, the writ was dismissed for want of prosecution and any interim order vacated.

REUSABLE CONSTRUCTIONS

1. A writ petition raising even a substantial question — here the building owner's right to a fresh connection under para 4.3(f)(vii) of the U.P. Electricity Supply Code, 2005 against an erstwhile tenant's electricity dues resolved under the IBC — will be dismissed for want of prosecution if, when finally listed, no one appears to press it, and any interim protection then stands vacated. **order of 13.07.2026**

QUESTION

What is the consequence when, on final listing, no one appears on behalf of the petitioners to press the writ petition?

HOLDING

The writ petition was dismissed for want of prosecution, no one appearing on behalf of the petitioners to press it, and any interim order was vacated. No question on the merits — including the para 4.3(f)(vii) of the U.P. Electricity Supply Code, 2005 / IBC issue argued in December 2023 — was decided. [order of 13.07.2026](#)

QUALIFIER

No adjudication on the merits; the substantive para 4.3(f)(vii)/IBC question remains open (see [not_decided](#)).

EVIDENCE “No one is present on behalf of petitioners to press this petition.” [order of 13.07.2026](#)

EVIDENCE “Accordingly, the writ petition is dismissed for want of prosecution. Interim order, if any, stands vacated.” [order of 13.07.2026](#)

FLAG Long order-sheet (12.12.2022 to 13.7.2026) without printed page numbers or numbered judgment paragraphs; pins are order dates. The substantive para 4.3(f)(vii)/IBC arguments were heard by an earlier bench (M.C. Tripathi and Prashant Kumar, JJ., December 2023); coram is the bench that finally dismissed the petition for want of prosecution.

PRINCIPLE TAGS

writ-dismissed-for-want-of-prosecution-interim-vacated After being listed and adjourned repeatedly from 2022 to 2026, the writ was dismissed for want of prosecution when no one appeared to press it, and any interim protection stood vacated — no merits decision being rendered. [order of 13.07.2026](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER, UNDER PARA 4.3(F)(VII) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 READ WITH THE INSOLVENCY AND BANKRUPTCY CODE, 2016, A DISTRIBUTION LICENSEE MAY REFUSE THE BUILDING OWNER A FRESH ELECTRICITY CONNECTION, OR RECOVER FROM THE OWNER, ON ACCOUNT OF THE UNPAID ELECTRICITY DUES OF AN ERSTWHILE TENANT WHOSE COMPANY UNDERWENT INSOLVENCY RESOLUTION AND WHOSE DUES THE NCLT HAD DIRECTED BE PAID BY THE RESOLUTION PROFESSIONAL AS INSOLVENCY RESOLUTION PROCESS COST

Argued at length in December 2023, with notice issued to the insolvency professional, but never decided: the writ was dismissed for want of prosecution on 13 July 2026. The petitioners relied on para 4.3(f)(vii), the IBC and Ghanshyam Mishra; compare the spine authority on electricity dues in insolvency and on arrears following the premises rather than the person. [\[SCJ-225\]](#) [order of 13.03.2023](#), [order of 05.12.2023](#)

RELATED CASES — SEE ALSO

SCJ-225 — The Supreme Court on electricity dues in insolvency (Pashchimanchal VVNL v. Raman Ispat) — the very intersection of the Electricity Act/Supply Code and the IBC that this petition raised but that was left undecided.

SCJ-127 — On electricity arrears attaching to the premises and the entitlement to a fresh connection — the class of question the owners here sought to invoke under para 4.3(f)(vii) against an erstwhile tenant's dues.

SCJ-248 — Spine sibling in the arrears-follow-the-premises-not-the-person / fresh-connection cluster engaged, though not decided, in this petition.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ghanshyam Mishra and Sons Private Limited v. Edelweiss Asset Reconstruction Company Limited</i> (2021) 9 SCC 657 Supreme Court of India	On approval of a resolution plan under Section 31 of the Insolvency and Bankruptcy Code, 2016, all claims not forming part of the plan stand extinguished, and no person may thereafter pursue a claim not included in the resolution plan.	Cited by the petitioners, with the provisions of the IBC, for the proposition that the erstwhile tenant's electricity dues could neither be recovered from them nor be a ground to refuse a connection; the Court did not decide the point, dismissing the writ for want of prosecution. order of 13.03.2023	Petitioner	Relied on

SCJ-2207 · M/S Kanhaiya Beverages Pvt. Ltd. & Another v. State of U.P. & 5 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.